ANNUAL OPERATING BUDGET

Zephyr Cottages | Portland, OR

Property	Zephyr Cottages
Fiscal Year	2024
Submitted By	Lumen Residential Services
Submitted	August 22, 2025

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$258,743	$248,342	$260,383	$1,640	0.6%	$1,438.58
5010 Loss to Lease	$343,834	$317,855	$330,316	-$13,518	-3.9%	$1,824.95
5020 Vacancy Loss	$126,974	$128,790	$136,510	$9,536	7.5%	$754.20
5030 Concessions	$427,104	$410,473	$419,682	-$7,421	-1.7%	$2,318.69
5040 Bad Debt	$238,702	$242,209	$248,555	$9,853	4.1%	$1,373.23
5050 Late Fees	$385,510	$364,535	$372,875	-$12,634	-3.3%	$2,060.08
5060 Utility Reimbursements	$316,155	$303,263	$309,389	-$6,766	-2.1%	$1,709.33
5070 Parking Income	$171,638	$163,526	$174,401	$2,763	1.6%	$963.54
5080 Application Fees	$204,508	$209,746	$220,413	$15,905	7.8%	$1,217.75
5090 Pet Rent	$54,716	$54,138	$57,388	$2,672	4.9%	$317.06
5100 Laundry Income	$35,652	$37,470	$37,673	$2,021	5.7%	$208.14
5110 Cable/Internet Revenue	$418,109	$394,835	$417,158	-$951	-0.2%	$2,304.74
5120 CAM Reimbursements	$364,990	$373,674	$382,339	$17,349	4.8%	$2,112.37
5130 Tax Reimbursements	$123,299	$119,065	$121,760	-$1,539	-1.2%	$672.71
5140 Insurance Reimbursements	$282,579	$290,333	$294,715	$12,136	4.3%	$1,628.26
5150 Percentage Rent	$288,043	$270,921	$278,379	-$9,664	-3.4%	$1,538.00
5160 Misc. Income	$126,603	$118,759	$121,104	-$5,500	-4.3%	$669.08
5170 Payroll - Management	$319,586	$306,137	$313,941	-$5,645	-1.8%	$1,734.48
5180 Payroll - Leasing	$389,690	$404,693	$405,457	$15,767	4.0%	$2,240.09
5190 Payroll - Maintenance	$89,437	$85,561	$88,010	-$1,427	-1.6%	$486.24
5200 Payroll Taxes & Benefits	$45,809	$42,718	$45,430	-$380	-0.8%	$250.99
5210 Repairs - Plumbing	$376,970	$347,159	$367,028	-$9,942	-2.6%	$2,027.78

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$404,574	$374,074	$375,184	-$29,390	-7.3%	$2,072.84
5420 Office Supplies	$337,046	$319,132	$332,759	-$4,287	-1.3%	$1,838.45
5430 Legal & Professional	$336,778	$341,464	$346,838	$10,059	3.0%	$1,916.23
5440 Accounting & Audit	$163,258	$156,235	$159,132	-$4,127	-2.5%	$879.18
5450 Licenses & Permits	$362,628	$339,598	$340,024	-$22,604	-6.2%	$1,878.59
5460 Management Fee	$287,970	$284,824	$293,737	$5,767	2.0%	$1,622.86
5470 Property Insurance	$72,048	$71,231	$73,196	$1,148	1.6%	$404.40
5480 Real Estate Taxes	$341,789	$325,329	$325,592	-$16,197	-4.7%	$1,798.85
5490 Asset Management Fee	$317,489	$314,797	$331,475	$13,986	4.4%	$1,831.35
5500 Replacement Reserves	$191,036	$176,448	$178,392	-$12,644	-6.6%	$985.59
5510 Roof Repairs	$383,234	$407,836	$424,306	$41,072	10.7%	$2,344.23
5520 Parking Lot Repairs	$373,742	$385,616	$389,781	$16,039	4.3%	$2,153.49
5530 Signage	$167,791	$166,631	$171,730	$3,939	2.3%	$948.79
5540 Tenant Improvements	$134,669	$127,426	$130,835	-$3,834	-2.8%	$722.85
5550 Leasing Commissions	$25,176	$25,229	$25,811	$636	2.5%	$142.60
5000 Gross Potential Rent	$379,335	$383,160	$402,510	$23,175	6.1%	$2,223.81
5010 Loss to Lease	$115,961	$120,567	$128,522	$12,561	10.8%	$710.07
5020 Vacancy Loss	$271,407	$259,234	$269,914	-$1,493	-0.6%	$1,491.24
5030 Concessions	$360,094	$372,594	$397,007	$36,913	10.3%	$2,193.41
5040 Bad Debt	$145,657	$150,750	$158,291	$12,634	8.7%	$874.54
5050 Late Fees	$128,844	$120,196	$123,997	-$4,847	-3.8%	$685.07
5060 Utility Reimbursements	$412,315	$384,250	$388,257	-$24,058	-5.8%	$2,145.07
5070 Parking Income	$61,469	$65,772	$67,902	$6,434	10.5%	$375.15
5080 Application Fees	$228,787	$225,204	$239,496	$10,709	4.7%	$1,323.18
5090 Pet Rent	$440,921	$409,959	$422,393	-$18,529	-4.2%	$2,333.66
5100 Laundry Income	$385,908	$411,450	$428,366	$42,457	11.0%	$2,366.66
5110 Cable/Internet Revenue	$351,902	$334,555	$350,139	-$1,762	-0.5%	$1,934.47
5120 CAM Reimbursements	$359,879	$339,329	$347,482	-$12,397	-3.4%	$1,919.79
5130 Tax Reimbursements	$148,190	$155,013	$157,051	$8,861	6.0%	$867.68
5140 Insurance Reimbursements	$149,365	$147,228	$154,017	$4,652	3.1%	$850.92
5150 Percentage Rent	$302,546	$314,642	$324,774	$22,228	7.3%	$1,794.33
5160 Misc. Income	$345,243	$365,012	$366,929	$21,685	6.3%	$2,027.23
5170 Payroll - Management	$235,258	$219,468	$221,535	-$13,723	-5.8%	$1,223.95
5180 Payroll - Leasing	$246,097	$256,172	$257,562	$11,465	4.7%	$1,423.00
5190 Payroll - Maintenance	$364,176	$371,578	$395,246	$31,070	8.5%	$2,183.68
5200 Payroll Taxes & Benefits	$463,698	$447,851	$457,331	-$6,367	-1.4%	$2,526.69
5210 Repairs - Plumbing	$489,296	$527,342	$543,095	$53,799	11.0%	$3,000.52
5220 Repairs - HVAC	$102,258	$104,987	$107,600	$5,342	5.2%	$594.48
5230 Repairs - Electrical	$186,362	$174,404	$179,325	-$7,038	-3.8%	$990.74
5240 Repairs - Appliances	$22,228	$20,548	$21,619	-$609	-2.7%	$119.44
5250 Painting & Decorating	$182,196	$190,608	$192,664	$10,469	5.7%	$1,064.44

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Operating Performance

Effective gross income for the trailing period was $189,000, representing a 11.0% increase over the prior year. Debt service coverage ratio was 5.87x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. Homes average 1,527 square feet with average monthly rent of $2,091. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Operating expenses totaled $20,000 or approximately 46.18 per square foot, with real estate taxes representing the largest line item.

Effective gross income for the trailing period was $276,000, representing a 9.2% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Debt service coverage ratio was 6.02x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $50,000 per home, and the in-house maintenance team handles most work orders within 9 days.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 13 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Turn costs average $394,000 per home, and the in-house maintenance team handles most work orders within 7 days. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day.

Turn costs average $46,000 per home, and the in-house maintenance team handles most work orders within 7 days. Service requests are tracked through a work-order system with an average completion time of 7 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. Homes average 1,527 square feet with average monthly rent of $2,091. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day.

Valuation Discussion

Turn costs average $54,000 per home, and the in-house maintenance team handles most work orders within 7 days. Debt service coverage ratio was 6.42x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $128,000, representing a 3.5% increase over the prior year. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

The going-in capitalization rate of 7.87% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $230,000, representing a 12.7% increase over the prior year. Debt service coverage ratio was 5.38x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $477,000 per home, and the in-house maintenance team handles most work orders within 21 days. Operating expenses totaled $123,000 or approximately 34.13 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 46 hours. Homes average 1,527 square feet with average monthly rent of $2,091. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Collections for the period were 93.3% of billed charges, with bad debt of 4.8% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Homes average 1,527 square feet with average monthly rent of $2,091. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day. Service requests are tracked through a work-order system with an average completion time of 39 hours. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. Debt service coverage ratio was 6.21x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $339,000 or approximately 18.08 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $208,000, representing a 10.9% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Turn costs average $412,000 per home, and the in-house maintenance team handles most work orders within 37 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.65x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5300 Janitorial	$336,289	$350,220	$368,567	$32,277	9.6%	$2,036.28
5310 Pest Control	$278,915	$262,541	$271,839	-$7,076	-2.5%	$1,501.87
5320 Trash Removal	$42,069	$40,097	$42,497	$428	1.0%	$234.79
5330 Elevator Contract	$268,033	$247,248	$257,016	-$11,016	-4.1%	$1,419.98
5340 Fire & Life Safety	$275,650	$295,079	$301,089	$25,439	9.2%	$1,663.47
5350 Security	$194,249	$208,808	$217,550	$23,301	12.0%	$1,201.93
5360 Electricity - Common	$427,130	$394,319	$420,601	-$6,529	-1.5%	$2,323.76
5370 Gas - Common	$22,861	$24,325	$24,561	$1,701	7.4%	$135.70
5380 Water & Sewer	$103,466	$110,617	$115,471	$12,005	11.6%	$637.96
5390 Telephone/Internet	$101,057	$98,435	$104,192	$3,135	3.1%	$575.65
5400 Advertising	$271,906	$263,370	$273,111	$1,205	0.4%	$1,508.90
5410 Resident Events	$94,858	$96,274	$98,544	$3,686	3.9%	$544.44
5420 Office Supplies	$223,499	$208,197	$217,114	-$6,385	-2.9%	$1,199.52
5430 Legal & Professional	$492,498	$454,659	$455,151	-$37,347	-7.6%	$2,514.65
5440 Accounting & Audit	$66,591	$68,124	$70,471	$3,880	5.8%	$389.34
5450 Licenses & Permits	$59,722	$60,804	$61,807	$2,085	3.5%	$341.48
5460 Management Fee	$443,053	$411,395	$431,239	-$11,814	-2.7%	$2,382.54
5470 Property Insurance	$336,541	$328,547	$330,890	-$5,651	-1.7%	$1,828.12
5480 Real Estate Taxes	$386,387	$385,537	$407,432	$21,045	5.4%	$2,251.01
5490 Asset Management Fee	$204,886	$220,485	$227,563	$22,676	11.1%	$1,257.25
5500 Replacement Reserves	$188,083	$202,736	$211,308	$23,225	12.3%	$1,167.45
5510 Roof Repairs	$40,876	$38,358	$40,046	-$830	-2.0%	$221.25
5520 Parking Lot Repairs	$97,666	$95,536	$99,971	$2,305	2.4%	$552.33
5530 Signage	$116,237	$120,480	$126,245	$10,008	8.6%	$697.49
5540 Tenant Improvements	$23,493	$25,252	$25,932	$2,438	10.4%	$143.27
5550 Leasing Commissions	$444,893	$440,587	$456,820	$11,927	2.7%	$2,523.87
5000 Gross Potential Rent	$266,852	$265,960	$272,773	$5,921	2.2%	$1,507.03
5010 Loss to Lease	$177,509	$188,538	$194,071	$16,562	9.3%	$1,072.21
5020 Vacancy Loss	$416,373	$444,767	$466,138	$49,766	12.0%	$2,575.35
5030 Concessions	$347,451	$339,905	$339,947	-$7,504	-2.2%	$1,878.16
5040 Bad Debt	$156,795	$164,546	$168,890	$12,095	7.7%	$933.09
5050 Late Fees	$133,864	$141,000	$143,876	$10,012	7.5%	$794.90
5060 Utility Reimbursements	$128,627	$118,697	$123,359	-$5,268	-4.1%	$681.54
5070 Parking Income	$229,445	$239,212	$253,333	$23,888	10.4%	$1,399.63
5080 Application Fees	$434,467	$450,858	$477,744	$43,278	10.0%	$2,639.47
5090 Pet Rent	$44,388	$41,568	$44,420	$32	0.1%	$245.41
5100 Laundry Income	$261,375	$259,832	$275,865	$14,490	5.5%	$1,524.12
5110 Cable/Internet Revenue	$52,087	$50,065	$51,425	-$662	-1.3%	$284.12
5120 CAM Reimbursements	$114,951	$113,164	$114,296	-$656	-0.6%	$631.47
5130 Tax Reimbursements	$59,850	$60,992	$61,922	$2,072	3.5%	$342.11
5140 Insurance Reimbursements	$96,440	$95,237	$97,993	$1,554	1.6%	$541.40
5150 Percentage Rent	$217,914	$217,495	$231,731	$13,817	6.3%	$1,280.28
5160 Misc. Income	$347,596	$334,481	$338,933	-$8,663	-2.5%	$1,872.56

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.18% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $380,000, representing a 5.9% increase over the prior year.

Turn costs average $406,000 per home, and the in-house maintenance team handles most work orders within 32 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,527 square feet with average monthly rent of $2,091. Effective gross income for the trailing period was $147,000, representing a 3.7% increase over the prior year. Debt service coverage ratio was 5.36x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Homes average 1,527 square feet with average monthly rent of $2,091. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. Service requests are tracked through a work-order system with an average completion time of 3 hours. Turn costs average $450,000 per home, and the in-house maintenance team handles most work orders within 31 days.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Turn costs average $277,000 per home, and the in-house maintenance team handles most work orders within 7 days. Homes average 1,527 square feet with average monthly rent of $2,091. Operating expenses totaled $370,000 or approximately 13.01 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Effective gross income for the trailing period was $314,000, representing a 11.9% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Operating expenses totaled $441,000 or approximately 46.69 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 7.60% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.29x on a trailing basis against a covenant minimum of 1.20x. Homes average 1,527 square feet with average monthly rent of $2,091.

Leasing and Marketing

Homes average 1,527 square feet with average monthly rent of $2,091. Turn costs average $111,000 per home, and the in-house maintenance team handles most work orders within 5 days. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Turn costs average $355,000 per home, and the in-house maintenance team handles most work orders within 44 days. Service requests are tracked through a work-order system with an average completion time of 34 hours. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Income and Expense Review

Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Homes average 1,527 square feet with average monthly rent of $2,091. Turn costs average $399,000 per home, and the in-house maintenance team handles most work orders within 19 days. Effective gross income for the trailing period was $319,000, representing a 8.8% increase over the prior year. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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5170 Payroll - Management	$214,631	$209,900	$223,279	$8,647	4.0%	$1,233.58
5180 Payroll - Leasing	$460,657	$479,174	$483,387	$22,730	4.9%	$2,670.65
5190 Payroll - Maintenance	$24,007	$22,626	$23,167	-$840	-3.5%	$128.00
5200 Payroll Taxes & Benefits	$371,152	$374,188	$376,645	$5,494	1.5%	$2,080.91
5210 Repairs - Plumbing	$377,998	$405,493	$431,721	$53,723	14.2%	$2,385.20
5220 Repairs - HVAC	$345,660	$336,820	$353,081	$7,421	2.1%	$1,950.72
5230 Repairs - Electrical	$489,733	$509,123	$518,609	$28,876	5.9%	$2,865.24
5240 Repairs - Appliances	$435,090	$468,664	$499,878	$64,788	14.9%	$2,761.76
5250 Painting & Decorating	$64,790	$68,379	$70,612	$5,822	9.0%	$390.12
5260 Flooring	$463,303	$464,467	$486,006	$22,704	4.9%	$2,685.12
5270 Make-Ready / Turnover	$142,927	$148,603	$155,840	$12,913	9.0%	$860.99
5280 Landscaping Contract	$346,686	$363,833	$377,851	$31,165	9.0%	$2,087.57
5290 Snow Removal	$335,822	$335,382	$340,154	$4,331	1.3%	$1,879.30
5300 Janitorial	$481,845	$517,226	$519,889	$38,044	7.9%	$2,872.31
5310 Pest Control	$105,293	$99,124	$103,134	-$2,159	-2.1%	$569.80
5320 Trash Removal	$146,379	$151,100	$156,872	$10,493	7.2%	$866.70
5330 Elevator Contract	$439,328	$460,936	$489,265	$49,937	11.4%	$2,703.12
5340 Fire & Life Safety	$489,352	$476,286	$480,244	-$9,108	-1.9%	$2,653.28
5350 Security	$410,380	$429,693	$438,422	$28,041	6.8%	$2,422.22
5360 Electricity - Common	$265,413	$280,807	$293,121	$27,708	10.4%	$1,619.45
5370 Gas - Common	$63,127	$58,151	$61,264	-$1,863	-3.0%	$338.47
5380 Water & Sewer	$42,185	$42,851	$44,046	$1,860	4.4%	$243.35
5390 Telephone/Internet	$436,975	$432,585	$449,405	$12,430	2.8%	$2,482.90
5400 Advertising	$168,201	$156,693	$161,895	-$6,306	-3.7%	$894.45
5410 Resident Events	$267,100	$247,812	$259,662	-$7,439	-2.8%	$1,434.59
5420 Office Supplies	$222,004	$206,424	$218,872	-$3,132	-1.4%	$1,209.24
5430 Legal & Professional	$294,917	$290,871	$297,602	$2,685	0.9%	$1,644.21
5440 Accounting & Audit	$37,075	$38,504	$39,019	$1,944	5.2%	$215.57
5450 Licenses & Permits	$163,625	$167,347	$174,724	$11,099	6.8%	$965.32
5460 Management Fee	$332,204	$318,042	$329,818	-$2,386	-0.7%	$1,822.20
5470 Property Insurance	$96,478	$99,343	$106,145	$9,667	10.0%	$586.44
5480 Real Estate Taxes	$323,377	$348,150	$356,390	$33,013	10.2%	$1,969.00
5490 Asset Management Fee	$389,456	$398,201	$419,437	$29,982	7.7%	$2,317.33
5500 Replacement Reserves	$493,774	$454,986	$468,899	-$24,875	-5.0%	$2,590.60
5510 Roof Repairs	$292,699	$287,686	$299,315	$6,617	2.3%	$1,653.68
5520 Parking Lot Repairs	$420,131	$427,998	$430,053	$9,922	2.4%	$2,375.98
5530 Signage	$292,689	$291,323	$309,217	$16,528	5.6%	$1,708.38
5540 Tenant Improvements	$145,394	$141,352	$146,741	$1,348	0.9%	$810.72
5550 Leasing Commissions	$265,018	$263,028	$279,769	$14,751	5.6%	$1,545.68
5000 Gross Potential Rent	$475,635	$497,709	$518,883	$43,248	9.1%	$2,866.76
5010 Loss to Lease	$291,299	$288,454	$290,483	-$816	-0.3%	$1,604.88
5020 Vacancy Loss	$162,134	$151,045	$161,259	-$875	-0.5%	$890.94
5030 Concessions	$421,401	$400,293	$422,572	$1,172	0.3%	$2,334.65

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Operating Performance

Turn costs average $384,000 per home, and the in-house maintenance team handles most work orders within 25 days. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,527 square feet with average monthly rent of $2,091.

Debt service coverage ratio was 6.19x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $16,000 per home, and the in-house maintenance team handles most work orders within 15 days. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,527 square feet with average monthly rent of $2,091. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Collections for the period were 91.8% of billed charges, with bad debt of 5.3% of gross potential income. Homes average 1,527 square feet with average monthly rent of $2,091.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 93.1% of billed charges, with bad debt of 7.7% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. Turn costs average $464,000 per home, and the in-house maintenance team handles most work orders within 31 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Financial Analysis

Effective gross income for the trailing period was $276,000, representing a 2.7% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. Homes average 1,527 square feet with average monthly rent of $2,091. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Effective gross income for the trailing period was $74,000, representing a 7.1% increase over the prior year. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.41% reflects the in-place income and the stabilized occupancy assumption. Homes average 1,527 square feet with average monthly rent of $2,091.

Property Operations

Turn costs average $358,000 per home, and the in-house maintenance team handles most work orders within 31 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 16 hours. Collections for the period were 93.3% of billed charges, with bad debt of 4.7% of gross potential income.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 93.0% of billed charges, with bad debt of 6.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day.

Operating Performance

Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,527 square feet with average monthly rent of $2,091. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. Operating expenses totaled $425,000 or approximately 26.47 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Turn costs average $176,000 per home, and the in-house maintenance team handles most work orders within 38 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period.

Management Commentary

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5040 Bad Debt	$465,861	$442,484	$453,556	-$12,304	-2.6%	$2,505.84
5050 Late Fees	$321,067	$323,346	$331,091	$10,024	3.1%	$1,829.23
5060 Utility Reimbursements	$244,686	$261,796	$271,630	$26,944	11.0%	$1,500.72
5070 Parking Income	$266,242	$279,825	$297,478	$31,236	11.7%	$1,643.53
5080 Application Fees	$342,226	$368,668	$376,824	$34,598	10.1%	$2,081.90
5090 Pet Rent	$88,244	$81,745	$85,594	-$2,650	-3.0%	$472.89
5100 Laundry Income	$399,790	$394,737	$397,267	-$2,523	-0.6%	$2,194.84
5110 Cable/Internet Revenue	$32,582	$31,495	$33,594	$1,012	3.1%	$185.60
5120 CAM Reimbursements	$83,204	$79,050	$81,771	-$1,432	-1.7%	$451.77
5130 Tax Reimbursements	$491,809	$476,859	$488,235	-$3,574	-0.7%	$2,697.43
5140 Insurance Reimbursements	$155,745	$153,500	$157,561	$1,815	1.2%	$870.50
5150 Percentage Rent	$129,853	$129,633	$130,759	$906	0.7%	$722.43
5160 Misc. Income	$150,485	$157,542	$160,288	$9,803	6.5%	$885.57
5170 Payroll - Management	$159,873	$171,255	$173,985	$14,111	8.8%	$961.24
5180 Payroll - Leasing	$68,240	$68,722	$68,960	$720	1.1%	$381.00
5190 Payroll - Maintenance	$63,982	$65,701	$69,378	$5,396	8.4%	$383.30
5200 Payroll Taxes & Benefits	$57,431	$54,912	$57,936	$505	0.9%	$320.09
5210 Repairs - Plumbing	$452,497	$440,261	$452,579	$82	0.0%	$2,500.44
5220 Repairs - HVAC	$63,030	$62,136	$66,014	$2,984	4.7%	$364.72
5230 Repairs - Electrical	$199,938	$191,931	$193,007	-$6,930	-3.5%	$1,066.34
5240 Repairs - Appliances	$121,838	$126,286	$131,286	$9,448	7.8%	$725.34
5250 Painting & Decorating	$389,620	$392,411	$394,522	$4,901	1.3%	$2,179.68
5260 Flooring	$46,159	$45,562	$47,060	$902	2.0%	$260.00
5270 Make-Ready / Turnover	$477,054	$456,064	$463,244	-$13,810	-2.9%	$2,559.36
5280 Landscaping Contract	$152,214	$155,692	$165,345	$13,131	8.6%	$913.51
5290 Snow Removal	$274,253	$268,132	$273,744	-$508	-0.2%	$1,512.40
5300 Janitorial	$162,485	$153,316	$160,729	-$1,756	-1.1%	$888.01
5310 Pest Control	$97,453	$101,844	$104,548	$7,095	7.3%	$577.61
5320 Trash Removal	$153,361	$154,812	$162,719	$9,358	6.1%	$899.00
5330 Elevator Contract	$229,563	$214,729	$227,812	-$1,751	-0.8%	$1,258.63
5340 Fire & Life Safety	$138,978	$133,961	$138,534	-$445	-0.3%	$765.38
5350 Security	$458,424	$446,040	$465,095	$6,671	1.5%	$2,569.58
5360 Electricity - Common	$391,774	$397,883	$408,207	$16,433	4.2%	$2,255.29
5370 Gas - Common	$215,979	$201,172	$201,574	-$14,405	-6.7%	$1,113.67
5380 Water & Sewer	$185,280	$197,519	$207,807	$22,528	12.2%	$1,148.11
5390 Telephone/Internet	$93,401	$89,094	$92,071	-$1,330	-1.4%	$508.68
5400 Advertising	$483,527	$499,627	$518,649	$35,122	7.3%	$2,865.46
5410 Resident Events	$59,774	$60,426	$64,453	$4,679	7.8%	$356.09
5420 Office Supplies	$437,923	$402,987	$422,795	-$15,128	-3.5%	$2,335.89
5430 Legal & Professional	$144,719	$152,531	$156,908	$12,189	8.4%	$866.90
5440 Accounting & Audit	$328,760	$343,639	$362,832	$34,072	10.4%	$2,004.60
5450 Licenses & Permits	$479,739	$464,465	$478,224	-$1,515	-0.3%	$2,642.12
5460 Management Fee	$291,614	$268,322	$272,473	-$19,141	-6.6%	$1,505.38

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Summary and Notes

Valuation Discussion

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 6.65% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Homes average 1,527 square feet with average monthly rent of $2,091. Effective gross income for the trailing period was $364,000, representing a 11.6% increase over the prior year. Turn costs average $233,000 per home, and the in-house maintenance team handles most work orders within 30 days.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Debt service coverage ratio was 5.62x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $479,000 or approximately 15.99 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. Homes average 1,527 square feet with average monthly rent of $2,091. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day.

Homes average 1,527 square feet with average monthly rent of $2,091. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Turn costs average $447,000 per home, and the in-house maintenance team handles most work orders within 19 days. Collections for the period were 96.5% of billed charges, with bad debt of 5.8% of gross potential income.

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